

Red Bail Jumpers Wreck Fund; State Takes Over to Liquidate It

By PETER KIHSS

With "an indicated insolvency of approximately \$140,000," largely caused by the bail-jumping of five top Communists, the affairs of the Bail Fund of the Civil Rights Congress of New York have been turned over to the State Attorney General by the State Banking Department for liquidation.

State Superintendent of Banks William A. Lyon said yesterday that a nine-month inquiry had shown "significant failures on the part of the bail fund in the maintenance of adequate books and records." He refused a request by the fund's trustees for private liquidation.

Records turned over to State Attorney General Nathaniel L. Goldstein included a still confidential list of 5,000 depositors. Deputy Superintendent Donald H. Aiken, counsel for the Banking Department, said the fund's assets of \$700,000 were in Government bonds and cash and reported "most of the \$700,000 is on deposit with various courts" for bail.

The day's developments brought out that the five former trustees of the fund had resigned. These included Frederick Vanderbilt Field, the secretary; Dashiell Hammett, mystery writer; Abner Green, executive secretary of the American Committee for the Protection of the Foreign Born, and W. Al-

phaeus Hunton, director of the Council on African Affairs, all of whom served varying sentences for contempt of Federal Court last year rather than reveal names of the fund's contributors.

Reached for comment, Robert W. Dunn, the fund's former treasurer and the other trustee who resigned, confirmed that the group had designated Grace Hutchins to replace them as a single trustee. Miss Hutchins, an associate of the Labor Research Association, is a former Communist party candidate for various offices here.

Mr. Dunn said the original trustees resigned because "the fund was put in a position where it couldn't do any business," after its disqualification in the Federal courts here as a bail bonding agency because of the various defaults.

Last July the fund forfeited \$80,000 bail when Henry Winston, national organization secretary of the Communist party; Gilbert Green, Illinois chairman; Gus Hall, former Ohio chairman, and Robert G. Thompson, New York State chairman, turned fugitives from Federal sentences. In 1949 it lost \$23,500 in bail when Gerhart Eisler, now a top East German Communist official, fled the country.

Mr. Dunn contended that Miss

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Hutchins had been named as a single trustee to carry out "an honest liquidation," and said: "There really is no insolvency, because a great many people were willing to cancel the amount they had put up in the interests of solvency. All of the defaulted bonds were covered by waivers of people."

Asserting that the contributors "should be paid back every cent" possible, Mr. Dunn doubted that putting the liquidation into the courts would help this aim. Recalling that the other trustees had declined "to act the part of informers" last summer when he was ill in a sanatorium, he indicated that they still believed the contributors' names should be kept confidential.

The fund, Mr. Dunn said, was originally incorporated in New York State in 1947 for a maritime strike and was located in the offices of the Civil Rights Congress, 23 West Twenty-sixth Street, as a matter of convenience. He insisted, however, that it had no legal relation with either the national or New York offices of the Civil Rights Congress.

The national congress has been listed by the United States Attorney General as subversive and Communist, as have Green's committee, Hunton's council and Miss Hutchins' association.

In a statement, Mr. Lyon said the Banking Department had refused a private liquidation because of inadequacy and destruction of records. Receipt books for collections during a fund drive in the fall of 1949, along with related correspondence, had been destroyed, he said.

While examiners thus could not be certain of the exact total of liabilities, Mr. Lyon said stubs and duplicated certificates called for \$725,000, against cash deposits and \$115,000 in securities as of last Aug. 7, the date the records were delivered to his department.

Deputy Superintendent Aiken said the records appeared to have been destroyed "as part of a clean-up," and "there was no evidence of a malicious destruction." The story given to the department, he said, was that "the money was coming in so fast that they issued temporary receipts," later replaced by permanent certificates, which were recorded.

While Mr. Aiken could not give an exact breakdown of the gap between the liabilities and assets, he

said the bulk represented the default on the Communist leaders' bail, while another part represented "a loss in depreciation of Government bonds."

Attorney General Goldstein declined comment pending an opportunity to study the entire file. Legal authorities noted that his office could move in Supreme Court for an injunction restraining the fund from further operations, a dissolution of the fund or appointment of a receiver—or all three.

Hammett appeared yesterday before a Federal grand jury investigating subversive activities and espionage, reportedly in connection with an investigation into whether

District 65, International Distributive, Processing and Office Workers of America, an unaffiliated union, had furnished union funds for the bail fund for the four fugitive Communist officials. Union officers have denied any such contribution. Field was subpoenaed to appear tomorrow.